

CBOE pitch deck

PITCH — CBOE — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

PROPOSED — PENDING ADJUDICATION: NO ENTRY at the current price (~\$293). Move to WATCH with two reopen triggers: price at or below \$255–265, or the September 3 August-volume report confirming index-options growth held through a full calm-VIX month.

What we believe

Cboe is a genuinely excellent business — the owner of the S&P 500 (SPX) and VIX options franchises, with a fast-growing data subscription arm (Data Vantage, guided to low-teens growth and raised last quarter). The daily-expiration options boom (ODTE, XSP) is real customer adoption, not a fad, and July's index-options volume was up 34% year over year.

But the last twelve months of earnings — adjusted EPS of \$12.99 — were earned during a stretch of historically violent markets. When markets are turbulent, options trading explodes and Cboe's revenue explodes with it. That turbulence has now ended: the VIX (the market's fear gauge, which Cboe itself publishes) sat at 14.5 in mid-August, the calmest reading of 2026. Both of our review benches agree that a fair “normal-conditions” earnings number is roughly **\$11–12 per share**, not \$12.99. At ~\$293–296, the stock trades at 24.7–27x that normalized figure — the very top of its own historical 22–25x range. The stock is down 21% from its high, but that decline is the froth coming out of the multiple, not a bargain appearing.

So: great company, wrong price, and one cheap, dated piece of evidence (the September 3 volume report) about to tell us whether we're wrong.

What the market believes

The market is treating the drawdown as largely done and the earnings as durable. Fourteen analysts cover the stock, it's an S&P 500 member, and reported estimate revisions have been upward (we could not independently verify that claim and gave it no weight — but nothing suggests downward revisions either). The market's implicit position: the shift to daily-expiration index options is a permanent step-change in how people trade, so the elevated earnings are the new baseline, and ~23x trailing earnings is reasonable for a toll-booth business of this quality.

One notable dissent from the company itself: **Cboe's own board repurchased stock at an average of \$256.61 in the second quarter** — about 13% below today's price. The issuer's revealed opinion of fair value sits below the market's.

Why we might have edge

1. **We dated the earnings, not just measured them.** The entire jump in trailing earnings sits in the specific quarters when markets were wildest (Q1-26 adjusted EPS \$3.70 and Q2-26 \$3.56, versus \$2.67 in Q3-25). First-half 2026 adjusted EPS was up 47% year over year. Meanwhile the input that drove it — market turbulence — has already reverted to a 2026 low. The earnings haven't caught down yet. That's a timing asymmetry: we can simply wait for the September 3 report, which covers the first full month traded at VIX ~14.5, and learn the answer nearly for free.
2. **The court process caught and corrected its own worst error** (detailed below), so the surviving valuation bracket (\$11–12 normalized) is one that both an attacking bench and a defending bench signed off on. It is deliberately built to be fair to the bull case — it grants 10–13% structural growth on top of a record year.
3. **A watch-item the market likely isn't tracking:** management is guiding to \$838–853M in operating expenses, justified partly by a workforce reduction — while job postings at headquarters have been accelerating (50 open roles, including senior AI-engineering hires). If the savings are being quietly re-absorbed, it shows up in the October 30 report's expense line.

Why it might be priced in

Honesty requires the other side, and it's strong:

- **The “windfall” might actually be a ratchet.** July's +34% index-options volume printed while volatility was *already falling*. If August confirms 20%+ growth in a fully calm month, the bull case wins the argument: customers who adopted daily options during the storm kept trading them in the calm, the \$12+ earnings base is real, and today's ~\$290 price is defensible. Our own red (attacking) bench conceded exactly this in its “what would change my mind” section.
- **Nothing here is undiscovered.** Fourteen analysts, an index member, a widely publicized ODTE story. The 2032 expiration of the exclusive SPX license — which our red bench raised as a risk — has been public since **March 2013**; thirteen years of models already contain it.
- **The apparent share loss in the equities business is softer than it first looked.** Cboe's own market-wide on-exchange volume figure fell 12.4%, but Cboe's multi-listed options volume actually *grew* 28% — the honest read is “losing share of a growing pie,” which is a much weaker bear point than “shrinking.”

What we checked ourselves

Claim	How checked	Found	Confirmed?
Trailing adjusted EPS \$12.99 is 51% above the prior all-time record (\$8.61, FY2024) — red bench's central kill fact	Blue bench pulled the Q4-2025 results press release (primary)	OUR RED BENCH ERRED: it skipped FY2025, which was itself a record at \$10.67 adjusted (+24%). True excess over the real prior record is +21.7%, not +51%. Red's proposed \$240 re-entry gate was built on this artifact and was rejected.	Corrected — CONFIRMED as an error

Claim	How checked	Found	Confirmed?
Even FY2025's record is a clean baseline	Blue bench decomposed FY25 by quarter	It isn't — Q4-25 (\$3.06, +46%) was also an elevated-volatility quarter. Normalized bracket set at \$11–12, cutting <i>for</i> the bear case	Confirmed (both benches)
Volatility has reverted	Multi-source news check	VIX 14.45 on 8/13 and 14.56 on 8/15 — the lows of 2026	Confirmed
July index-options volume +34% y/y	Cboe IR press release (primary)	As claimed	Confirmed
Q2 figures in the pitch (\$3.56 adj EPS, \$838–853M opex guide, Data Vantage raise, \$23.7M realignment charge)	Matched against the 8-K earnings exhibit filed with the SEC	All match the filing; no transcript-vs-filing discrepancies	Confirmed
SPX license exclusivity ends 2032 (non-exclusive 2033)	2013 SEC 8-K press-release exhibit	Confirmed — but public since March 2013, so it explains nothing about today's price. Royalty terms are confidential	Existence confirmed; terms unverified
~20% headcount cut being undermined by rehiring	hiring_velocity detector: 50 open roles, monthly postings 1→2→13→34 April→August	RED BENCH OVERWEIGHTED THIS: job boards age out old postings, so any snapshot skews recent; and 50 openings don't refute a ~360-role cut. Downgraded to a watch item for the Oct 30 expense line	Partially — kept as watch item only
Cboe losing equities market share (31.1%→29.1%)	July volume release	Market-wide on-exchange volume –12.4% confirmed; the specific share figures were never verified; multi-listed volume grew +28%. Original pitch framing was too bearish — red bench correctly corrected it	Mixed
Issuer buyback price	Q2 10-Q	\$256.61 average — blue bench found this; red bench missed it	Confirmed
Next earnings date Oct 30	yfinance only	No company press release names it yet	Unconfirmed
"Estimates rising, zero cuts"	Zacks via Yahoo (secondary)	Could not verify; also mechanically follows realized volumes	Not confirmed — zero weight

PROPOSED ENTRY BANDS

(Bench math was run at a tape of \$296.14; the pack refreshed to \$293.08 before this deck — no gate changes.)

The courts say **no entry now**. Reopen conditions, from the benches' own arithmetic:

- **Price gate — buy at or below \$255–265.** That is 22x (the bottom of Cboe's own historical multiple range) applied to the court-agreed normalized earnings of \$11.50–12.00, and it brackets the \$256.61 the company itself paid for stock in Q2. Proposed sizing on trigger: starter tranche of ~1% of book at ≤\$265, add to ~2% at ≤\$255. Red bench's deeper \$240 gate is **rejected** — it was derived from the skipped-record-year error.

- **Event gate — the September 3 volume report.** If August index-options volume is up 20%+ year over year with the VIX having averaged ~14.5 all month, the “windfall” is re-classified as a durable ratchet, normalization moves toward \$12+, and per the blue bench even ~\$290 becomes a defensible entry. If that prints, bring the name back to court for immediate re-adjudication rather than buying mechanically — the entry price will be whatever the tape gives us that morning.
- **Exit/trim rules:** none — no position exists and none is proposed today.
- **Catalyst dates:** 2026-09-03 (August volume report, unconfirmed exact date — Cboe reports monthly volume around the 3rd); 2026-10-30 (Q3 earnings, unconfirmed — yfinance-derived; also the checkpoint for the \$838–853M expense guide vs. the rehiring signal).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 255.0 (deck-provisional: bottom of band: 22x normalized \$11.50 — full-add zone)
- filing watch: 8-K until 2027-02-11 (deck-provisional: Q3 print (opex \$838-853M guide vs hiring re-acceleration watch item) and any S&P DJI license-renewal/r)
- dated pack CBOE|2026-09-03: Cboe August volume PR (~9/3): the first TRUE low-vol test (VIX ~14.5 all month). Index-options ADV +20%+ y/y = the oDTE/XSP RATCHET confirme
- dated pack CBOE|2026-10-02: CBOE: September volume PR — second consecutive low-vol month; two calm months = regime answer (date confirmed=False)
- dated pack CBOE|2026-10-30: CBOE: Q3-26 earnings — windfall-vs-ratchet resolves in the numbers; expense-guide check (date confirmed=False)

What remains unverified

- **The October 30 earnings date** — derived from yfinance, not yet named in any company release.
- **SPX license royalty terms** — the 2032/2033 timeline is confirmed; the economics of renewal are confidential.
- **The 31.1%→29.1% equities market-share figures** — the original pitch’s “reportedly”; never traced to a primary source.
- **The “rising estimates, zero cuts” claim** — secondary source only; given zero weight by both benches.
- **The normalized-EPS bracket itself (\$11–12)** — a court estimate, deliberately generous to growth, but an estimate. The September 3 and October 2 volume reports are the instruments that will verify or break it.
- **Coverage gaps disclosed by both benches:** the desk’s seasonality and crowding-state scripts could not be executed this session, and data-center hazard exposure (Secaucus) was not run —

judged immaterial to the verdict but noted, not skipped.

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